HOWDEN JOINERY LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 24 DECEMBER 2011

REGISTERED NUMBER : 0526923

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HOWDEN JOINERY LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 24 December 2011 *(2010 52 weeks ended 25 December 2010)*

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

Howden Joinery Limited ('the Company") is a wholly owned subsidiary of Howden Joinery Group Plc ("the Group") The Company designs, and either sources or manufactures, kitchens and joinery products, and then sells these products to the building trade, predominantly small local builders, via a nationwide network of depots

As shown in the Company's profit and loss account, sales are £842m for the period *(2010 £797m)* The profit on ordinary activities before taxation is £102m *(2010 £104m)* and profit for the financial period is £74m *(2010 £76m)* The directors do not recommend payment of a dividend *(2010 £nil)*

The balance sheet shows the Company's financial position at the end of the year Details of amounts owed to and from the parent and other group companies are shown in notes 9 and 10

The Howdens model is based on a number of well-defined elements First and principally, it is trade only, which means a constant focus on serving one customer the small builder Only Howdens offers a well-designed range of rigid cabinets, frontals and joinery that are easy to install, saving the builder time and therefore money, a quality of construction that means Howdens kitchens do not break, look good and work well, saving more time and money, a confidential discount that allows builders to determine their own margin and make a living, and a nett monthly account that allows them to manage their cash flow

Second, all the Company's ranges are available locally, all the time, so builders can pick up a complete kitchen when they need it, and they can finish their job and get paid by their customers, which means they can in turn pay Howdens

Third, Howdens is a local business There are 509 local depots, with 20 new depots opened last year, and 55 in the last three years Builders do not want to waste time driving to and fro but rather they want to get on with the job Their account is with their local depot The depot staff know what each account customer needs, so there are no misunderstandings, and no call centres, which saves all concerned a lot of time, as well as money

"Local" also means that each Howdens depot is fully accountable for its own performance Depot managers hire their own staff, refine their own stock to suit local needs, market it themselves to their own customers, and adjust their own pricing to suit local conditions They are wholly responsible for their own sales and their own margin Depot managers and staff are all incentivised to drive more sales and more margin, as efficiently as possible

It is therefore not surprising that depot managers and staff are keen, willing and able to open new accounts and make sure that they trade Last year they opened 76,000 new accounts, which equated to 38,000 net new accounts with the total number of credit accounts standing at almost 250,000 at the year end

Fourth, Howdens is run as a focussed and therefore low-cost operation, with high volumes and predictable sales The Company has invested in own manufacturing capability to ensure better service, greater efficiency, and no waste

Finally, the Howdens model only works if it is implemented as a whole, which means all of the elements are non-negotiable The model was designed when the business began in 1995 with its aim is to enable the business to find solutions to complexity efficiently and profitably, because getting kitchens into homes and making sure they work, is a highly complex activity

FINANCE RISKS AND OTHER PRINCIPAL RISKS AND UNCERTAINTIES

The future success of the Company business depends on maintaining the culture and business model as the Company grows The Company needs to preserve the decentralised business model which allows depot managers to flex their requirements to suit the needs of their customers, and increases the entrepreneurship which is part of the Howden Joinery culture

The Company is financed by an interest-free loan from its ultimate parent company The Company has no third party debt, although as described below certain of its assets act as security on the Group's ABL facility It therefore has no interest rate exposure As such, the Company's financial risk management objectives and policies are those of the Howden Joinery Group Plc Group, which are contained in the Group's Annual Report, which does not form part of this Report

The Company's principal financial assets are bank balances, cash, and debtors The Company's credit risk is mainly confined to the risk of customers defaulting on sales invoices raised A policy of only dealing with creditworthy counterparties as a way of mitigating the risk of financial loss from defaults has been adopted Howden Joinery does not have any significant credit risk exposure to any single counterparty, since debtors consist of a large number of customers, with ongoing credit evaluation performed on the financial conditions of accounts receivable

The Company has no other significant risks and uncertainties, other than those risks that it shares with the Group The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

GOING CONCERN

The current economic conditions create uncertainty particularly over (a) the level of demand for the Company's products and (b) the exchange rate between sterling and both the Euro and the US Dollar which would impact the cost of the Company's operations

The Company's forecasts and projections have been stress-tested for reasonably possible adverse variations in trading performance The results of this testing show that the Company should be able to operate for the foreseeable future

The Company's trade receivables and inventory balances act as security on the Group's asset-backed bank facility The security on these assets could be called upon if the Group were to breach its borrowing facility or covenants In addition the pension trustees have a charge on the shares of the Company and have a separate covenant test on the EBITDA for Howden Joinery This charge could be called upon if there were to be a breach of this covenant

The Group's latest forecasts and projections have been stress-tested for reasonably possible adverse variations in trading performance and show the Group should be able to operate within the terms of its current borrowing facility and covenants for the foreseeable future On this basis the directors of the Company believe that the security on the facility could not be called upon

After making enquiries, the directors have a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future Accordingly, they continue to adopt the going concern basis in preparing the accounts

SOCIAL AND EMPLOYEE ISSUES

With over 400,000 Howden Joinery kitchens being fitted in homes around the UK every year, the Company recognises that it has an important role to play in the wider community

Responsible manufacturing in the UK

There are two manufacturing facilities in the UK one at Runcorn in Cheshire and one at Howden in Yorkshire Manufacturing at scale in the UK benefits our domestic workforce and the communities in which they live and work

SOCIAL AND EMPLOYEE ISSUES (Cont'd)

Managing the impact on the environment

Wood

Manufactured product

As a supplier of kitchen and joinery products, wood obviously plays a central role in what the Company does It is therefore policy to always try and source wood in a way that is good for the environment as well as good for the business The preferred option is to buy wood which is certified by either the UK FSC or by the European Programme for the Endorsement of Forest Certification (PEFC) These respected, independent schemes enable the Company to source wood and paper products from suppliers that use sustainable methods to manage their forests

The Company also aims to source all our cardboard packaging from either recycled or certified sources All of the kitchen ranges which are manufactured at the Company's factories are certified by the UK Forest Stewardship Council (UK FSC) and over 99% of all products which we manufacture in-house are FSC compliant (2010 99%)

Bought-in product

As well as manufacturing product in the UK, the Company continues to source joinery products and kitchen frontals from a range of suppliers in the UK, Europe and elsewhere in the world Ethical and environmental sourcing is an important factor in the Company's international supply chain, and all suppliers are expected to exercise high standards in this area Suppliers of wood based kitchen and joinery products should either already have or be working toward FSC/PEFC certification wherever possible Regular audits and continuous improvement programmes operate across all key suppliers and incorporates measures relating to environmental, health and safety and ethical performance, as well as including the latest legislation where appropriate, e g the Bribery Act

Energy

This year efforts to reduce energy use across the business were recognised by accreditation under the Carbon Trust Standard For over 10 years prior to the introduction of the Carbon Trust accreditation, the Company's manufacturing facilities enjoyed accreditation under the standard's predecessor, the Energy Efficiency Accreditation Scheme

All the Supply division sites manufacturing, distribution and warehouse related sites, retained their ISO14001 accreditations during the year

With regards to the Company's fleet of 104 trucks, it remains considerably smaller than it was four years ago as work continues with haulier partners through traffic sharing arrangements and maximising the use of backhaul capacity All of the Company's trucks remain Euro 5 compliant

The Company continues to be committed to improving the ecological performance of the car fleet As planned, over 85% of the vehicles driven by managers and sales representatives have now been replaced with more eco-friendly vehicles and the remainder will be replaced this year

Product KPIs, which are set for a three year period (2010-2012), are aimed at improving the efficiency of the Company's bestselling own-brand appliance products both in terms of energy consumption and water usage As reported last year, excellent progress has been made over the last two years in respect of ovens, with energy consumption in the Company's own brand "Lamona" appliances reduced by 10% overall and by 5% for bestselling ranges The Company continues to test new developments with bestselling dishwashers and laundry appliances to reduce water consumption

Waste

All employees are encouraged to consider how they can improve the environmental performance in all areas by reducing consumption, re-using materials and recycling wherever possible In 2011, the Company continued to recycle waste Of the 37,900 tonnes of waste produced (2010 44,800), 98% was recycled (2010 98%)

SOCIAL AND EMPLOYEE ISSUES (Cont'd)

Supporting the workforce to acquire and practise core skills

Employee responsibilities

The Company takes its responsibilities as an employer very seriously and aims to provide a positive work environment for all staff whether they work in factories, warehouses, depots or offices The Company's culture emphasises the importance of individual accountability, which means the personal responsibility towards everyone engaged in Company business, encouraging openness and transparency within the business which has been vital to its growth and development since 1995 This culture is reinforced by commitment to certain core principles

- Recognising by reward the hard work of all employees,
- Investing in training and development across the business, and
- Ensuring that recruitment, career success and progression are solely determined by an employee's abilities and achievements

Supporting learning and development in the community

Howden Joinery's heritage and culture means a high value is placed on a whole range of skills practised by local tradespeople technical, commercial and interpersonal As a result the business promotes the use of apprenticeships within the workplace While in the wider community, the Company continues to build relationships with local further education colleges which offer courses in construction skills Further the Company, working with ConstructionSkills, the Sector Skills Council and Industry Training Board for the construction industry, has now put in place a bursary scheme for new apprentice joiners

Disabled employees

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned In the event of members of staff becoming disabled every effort is made to ensure that their employment with the company continues and that appropriate training is arranged It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees

Employee involvement

Howden Joinery participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings and employee representatives are consulted regularly on a wide range of matters affecting their interests

Details of the number of employees and related costs can be found in note 3 to the financial statements

Health & Safety

The managers and directors in the operating divisions are personally responsible and accountable for the health & safety of their employees The health & safety requirements of these two divisions necessarily differ somewhat and as such, each of the operating divisions reviews its own strategy, issues and performance on a regular basis

As it is the policy to drive all elements of the business at a local level, depot managers are responsible for the health and safety of the staff at their depots To help them in this task, they participate in the Health and Safety Management Training programme which provides training on a three year basis for all depot managers While the majority of the senior managers also attended the 'IOSH Safety for Senior Executives' course as part of a triennial update A defensive driving course continues to be run for those staff in the depots that are required to drive as part of their day to day role

All manufacturing, warehouse and distribution sites remain certified to OHSAS 18001, while staff are continually encouraged to gain externally accredited health & safety qualifications (IOSH, NEBOSH and CIEH), as well as training operatives in the requirement of OHSAS

SOCIAL AND EMPLOYEE ISSUES (Cont'd)

Across the Company, there were no improvement or prohibition notices served during the year by the Health & Safety Executive (HSE), nor were there any prosecutions by the HSE or the Environment Agency

Playing an active part in our local communities

Each depot, manufacturing site and distribution centre fulfils an important role in the life of the area it serves, and all staff are encouraged to make a contribution to the local community

This year, the Company donated £779,000 (2010 £753,000) to local good causes Cash and stock donations, together with employee fund raising activities, typically supported local schools, village halls, care homes, hospices, sports clubs, youth groups and many other community activities

Leonard Cheshire Disability is a key community partner for the Company, and mindful of their reliance on volunteer support, the Company increased its contributions to their volunteer recruitment and training programme, while staff continue to find ways to fundraise for Leonard Cheshire

The Company's inclusive kitchen research with Leonard Cheshire, inspired by working with their residents, helps the business to offer relevant, affordable kitchen solutions to customers, regardless of their ability The Company's multi-ability kitchen solutions, available from stock, work particularly well for local authorities and housing associations, who have to meet minimum criteria for the housing of disabled residents, frequently without knowing for whom they are providing facilities before they are installed

The Company is proud of the fact that staff, customers and all stakeholders take such an active part in giving something back to their local communities In celebration of their generosity, the Company continues to publish a series of "Truly Local" books, detailing only a fraction of the good work carried out by staff and customers and their families as part of their daily lives within their local communities

DIRECTORS

The directors of the Company who served throughout the period were

M Ingle
C Youell
M Robson
R Fenwick
D Hallett
A Witts
C Bishop

No director held any beneficial interest in the shares of the Company at any time during the period

SUPPLIER PAYMENT POLICY

It is the Company's policy on payment of suppliers to agree terms of payment prior to commencing trade, and to abide by those terms on a timely submission of satisfactory invoices The number of days purchases outstanding for payment by the Company at the year end was 31 days *(2010 30 days)*

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company made charitable donations during the period amounting to £779,000 *(2010 £753,000)* The Company made no political donations during the current or previous period

AUDITOR

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware, and
- the director has taken all the steps he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the Company's auditor is aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

Deloitte LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be reappointed as auditor in the absence of an Annual General Meeting

REGISTERED OFFICE

The Company's registered office is International House, 66 Chiltern Street, London, W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgments and accounting estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006 They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Youell
Director
12th March 2012

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY LIMITED

We have audited the financial statements of Howden Joinery Limited for the year ended 24 December 2011 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 19 The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland) Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error This includes an assessment of whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements In addition, we read all the financial and non-financial information in the annual report to identify material inconsistencies with the audited financial statements If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the Company's affairs as at 24 December 2011 and of its profit for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit

John Adam - Senior statutory auditor
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditor
London, UK
14 March 2012

HOWDEN JOINERY LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 24 DECEMBER 2011

	Note	52 weeks to 24 Dec 2011 Total £000	52 weeks to 25 Dec 2010 Total £000
Turnover		**842,403**	797,439
Cost of sales		**(364,181)**	(341,698)
Gross profit		**478,222**	455,741
Selling and administrative costs		**(375,644)**	(351,786)
Operating profit		**102,578**	103,955
Loss on disposal		**(138)**	(22)
Interest payable		**(10)**	(52)
Profit on ordinary activities before taxation		**102,430**	103,881
Tax on profit on ordinary activities	5	**(28,690)**	(28,095)
Profit for the financial period - amount transferred to reserves		**73,740**	75,786

The results for the current and prior period derive from continuing operations

There are no recognised gains or losses in the current and the previous period other than those included in the profit and loss account, accordingly no statement of total recognised gains and losses has been presented

HOWDEN JOINERY LIMITED
BALANCE SHEET AT 24 DECEMBER 2011

	NOTES	24 Dec 2011 £000	24 Dec 2011 £000	25 Dec 2010 £000	25 Dec 2010 £000
Fixed assets					
Tangible assets	6	**49,670**		50,551	
Investments	7	**-**		2,000	
			49,670		52,551
Current assets					
Stocks	8	**116,074**		103,502	
Debtors	9	**942,525**		727,489	
Cash at bank and in hand		**11,860**		11,191	
		1,070,459		842,182	
Creditors amounts due within one year	10	**(813,526)**		(664,092)	
Net current assets			**256,933**		178,090
Total assets less current liabilities			**306,603**		230,641
Provisions for liabilities	11		**(2,477)**		(1,604)
Net assets			**304,126**		229,037
Capital and reserves					
Called up share capital	13		**100,000**		100,000
Profit and loss account	14		**198,449**		124,709
Share-based payments reserve	14		**5,677**		4,328
Shareholders' funds	14		**304,126**		229,037

Approved by the Board of Directors and signed on their behalf by

C Youell
Director
12th March 2012

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period and the preceding period

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards The financial statements have been prepared on a going concern basis as discussed in the Directors' Report

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc

The financial statements include the undertakings for the 52 week period ended 24 December 2011 The comparative period covers the 52 weeks ended 25 December 2010

The Company is exempt from the requirement to prepare Group financial statements under s400 of the Companies Act 2006 since its results are included in the consolidated financial statements of its ultimate parent company, Howden Joinery Group Plc Accordingly these accounts present information about the Company as an individual undertaking and not its group

TURNOVER

Turnover represents the net value of goods and services sold to customers excluding value added tax All turnover arises in the United Kingdom and is recognised on despatch of goods and services provided to customers, excluding sales taxes and discounts

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and any provision for impairment Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows

Equipment and machinery	4 – 10 years
Computer equipment, fixtures and fittings, plant and equipment	3 – 10 years

STOCKS

Stocks are valued at the lower of cost and net realisable value Cost includes materials, direct labour and an attributable proportion of manufacturing overheads based on normal levels of activity Net realisable value is based on estimated selling price less further costs expected to be incurred to completion and disposal Provision is made for obsolete, slow moving stock or defective items where appropriate

TAXATION

Current tax, including UK corporation tax and foreign tax, is provided at amounts expected to be paid (or recovered) using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events that result in an obligation to pay more tax in the future or a right to pay less tax in the future have occurred at the balance sheet date Timing differences are differences between the Group's taxable profits and its results as stated in the financial statements that arise from the inclusion of gains and losses in tax assessments in periods different from those in which they are recognised in the financial statements

A net deferred tax asset is regarded as recoverable and therefore recognised only to the extent that, on the basis of all available evidence, it can be regarded as more likely than not that there will be suitable taxable profits from which the future reversal of the underlying timing differences can be deducted

1. **ACCOUNTING POLICIES (Continued)**

TAXATION (Continued)

Deferred tax is not recognised when fixed assets are revalued unless by the balance sheet date there is a binding agreement to sell the revalued assets and the gain or loss expected to arise on sale has been recognised in the financial statements Neither is deferred tax recognised when fixed assets are sold and it is more likely than not that the taxable gain will be rolled over, being charged to tax only if and when the replacement assets are sold

Deferred tax is recognised in respect of the retained earnings of overseas subsidiaries and associates only to the extent that, at the balance sheet date, dividends have been accrued as receivable or a binding agreement to distribute past earnings in future has been entered into by the subsidiary or associate

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date Deferred tax is measured on a non-discounted basis

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Company All other leases are classified as operating leases For property leases, the land and building elements are treated separately to determine the appropriate lease classification

Finance leases

Assets funded through finance leases are capitalised as property, plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease The resulting lease obligations are included in liabilities net of finance charges Finance costs on finance leases are charged directly to the income statement

Operating leases

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease

FOREIGN CURRENCY TRANSACTIONS

Transactions in foreign currency are translated at the foreign exchange rate ruling at the date of the transaction Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated at the exchange rate ruling at the date Foreign exchange gains and losses are recognised in the profit and loss account

INVESTMENTS

Investments are stated at cost less any provision for impairment

PENSIONS

i) Defined benefit pension schemes

The Company participates in its parent company's (Howden Joinery Group Plc) group retirement benefit scheme This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme The assets and liabilities of the scheme are held separately from those of the Group The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

ii) Defined contribution pension schemes

The Group operates a defined contribution scheme for its employees For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

1. ACCOUNTING POLICIES (Continued)

SHARE-BASED PAYMENTS

The Company has adopted FRS 20 "Share-based payments" In accordance with the transitional provisions, FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Howden Joinery Group Plc Equity-settled share-based payments are measured at fair value at the date of grant The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Company's estimate of shares that will eventually vest

Fair value is measured by use of either a binomial model or a Black-Scholes-based model, depending on which model most closely reflects the terms of each individual share-based payment arrangement The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The profit on ordinary activities before taxation is stated after charging

	24 Dec 2011 £000	25 Dec 2010 £000
Depreciation	**12,630**	11,814
Impairment charge	**-**	94
Hire of plant and machinery – rentals	**10,797**	10,174
Rent payable on property	**40,947**	39,961
Loss on disposal of fixed assets	**138**	12
Foreign exchange (gain)/loss	**(1)**	70

The analysis of auditor's remuneration is as follows

	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Fees payable to the Company's auditor for the audit of the Company's annual accounts	**120**	120
Total audit fees	**120**	120
Tax compliance	**50**	47
Tax advice	**103**	28
Total non-audit fees	**153**	75

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

Some of the Company's employees are paid directly by the Company In addition, there are a number of other employees, who work full-time in the operations of this Company, but who are employed by a fellow Howden Joinery Group Plc Group subsidiary, Howden Joinery Group People Services Limited, and whose employment costs are recharged to this Company in full The figures given below for staff numbers and costs include both groups of employees, in order to give more meaningful information

The average number of persons (full-time equivalent) who worked for the Company during the period, including those who were employed by Howden Joinery Group People Services Limited, was as follows

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS) (Continued)

	24 Dec 2011	25 Dec 2010
	No	No
Manufacturing and distribution	1,021	1,063
Depots	4,710	4,342
Head office	539	473
	6,270	5,878

The aggregate payroll costs of these persons were as follows

	£000	£000
Wages and salaries	159,999	150,109
Social security costs	16,028	14,959
Other pension costs	15,913	13,507
Share-based payment charge (note 20)	1,349	799
	193,289	179,374

4. REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows

	24 Dec 2011	25 Dec 2010
	£000	£000
Directors' emoluments	1,050	937
Pension costs	20	20
	1,070	957

The aggregate emoluments of the highest paid director in the 52 weeks to 24 December 2011 were £542,000 *(2010 £496,000)* Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £129,800 *(2010 £121,200)*

5. TAX ON PROFIT ON ORDINARY ACTIVITIES

	52 weeks to 24 Dec 2011	52 weeks to 25 Dec 2010
	£000	£000
UK corporation tax –current year	27,924	28,296
Adjustment for prior periods	746	(2,127)
Current tax charge	28,670	26,169
Deferred tax – current year	113	2,112
Deferred tax- adjustments in respect of prior years	(93)	(186)
Deferred tax charge	20	1,926
Tax charge on profit on ordinary activities	28,690	28,095

5. TAX ON PROFIT ON ORDINARY ACTIVITIES (continued)

Factors affecting current period corporation tax
The current corporation tax charge for the period is different from the standard rate of corporation tax of 26 5% *(2010 28%)* for the following reasons

	52 weeks to 24 Dec 2011 £000	52 weeks to 25 Dec 2010 £000
Profit on ordinary activities before taxation for the period	**102,429**	103,881
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 26 5% *(2010 28%)*	**27,143**	29,086
Effects of		
Expenditure not deductible for tax purposes	**392**	291
Depreciation in excess of capital allowances	**41**	(1,328)
Movement in short term timing differences	**(10)**	160
Tax deduction on exercises	**(37)**	(143)
Amortisation of share-based payments	**359**	224
Loss on disposal of fixed assets	**36**	6
Prior year adjustment	**746**	(2,127)
Current tax charge for the period	**28,670**	26,169

6. TANGIBLE FIXED ASSETS

	Plant and machinery	Fixtures and fittings	Computer equipment	Assets under construction	Total
Cost	£000	£000	£000	£000	£000
At 25 December 2010	26,640	62,336	24,572	639	114,187
Additions	1,041	4,590	2,091	4,209	11,931
Transfers between asset categories	13	54	412	(479)	-
Disposals	(6,189)	-	-	(43)	(6,232)
At 24 December 2011	**21,505**	**66,980**	**27,075**	**4,326**	**119,886**
Depreciation					
At 25 December 2010	(9,059)	(40,924)	(13,654)	-	(63,637)
Charge for the period	(3,425)	(5,387)	(3,818)	-	(12,630)
Disposals	6,051	-	-	-	6,051
At 24 December 2011	**(6,433)**	**(46,311)**	**(17,472)**	**-**	**(70,216)**
Net book value					
At 25 December 2010	17,581	21,412	10,918	639	50,551
At 24 December 2011	**15,072**	**20,669**	**9,603**	**4,326**	**49,670**

Analysis of assets held under finance leases
There are no assets held under finance leases at the end of the current period At the end of the prior period, there was plant and machinery held under finance leases with a cost of £1,343,000, accumulated depreciation of £666,000, and a net book value of £667,000

Capital Commitments
At 24 December 2011, the Company had entered into contractual commitments to acquire property, plant and equipment amounting to £11 6m *(2010 £3 0m)*

7. INVESTMENTS

	Other unlisted investment	TOTAL
Cost	£'000	£'000
At 25 December 2010	2,000	2,000
Repayment in period	(2,000)	(2,000)
At 24 December 2011	0	0
Net Book Value		
At 25 December 2010	2,000	2,000
At 24 December 2011	**0**	**0**

The investment was repaid during the year at its original cost

Shares in group companies
The principal subsidiaries at 24 December 2011 are listed below All subsidiaries are wholly owned and are incorporated in Great Britain, and registered in England and Wales, with the exception of Houdan Menuiseries SA, which is incorporated and registered in France In the opinion of the directors, the total value of shares in these companies is not less than the amount at which they are included in the balance sheet

Subsidiary	Principal activity
Howden Joinery Properties Limited	Property management
Howden Kitchens Properties Limited	Property management
Houdan Menuiseries SA	Trade kitchen furniture and joinery

8. STOCKS

	24 Dec 2011	25 Dec 2010
	£000	£000
Raw materials	**3,558**	3,217
Work in progress	**2,824**	2,948
Finished goods for resale	**109,692**	97,337
	116,074	103,502

There is no material difference between the balance sheet value of stocks and their replacement costs

9. DEBTORS

	24 Dec 2011	25 Dec 2010
	£000	£000
Amounts falling due within one year		
Trade debtors	**70,395**	**66,705**
Other debtors	**118**	**234**
Amounts owed by fellow subsidiary undertakings	**858,318**	**645,547**
Prepayments and accrued income	**9,500**	**10,789**
Deferred taxation (see note 12)	**4,194**	**4,214**
	942,525	**727,489**

10. CREDITORS

	24 Dec 2011 £000	25 Dec 2010 £000
Amounts falling due within one year		
Trade creditors	**63,130**	58,206
Corporation tax	**27,923**	28,294
Other taxes and social security	**41,228**	34,097
Current portion of amounts due under finance leases	-	397
Accruals and deferred income	**20,135**	26,077
Amounts owed to parent and fellow subsidiary undertakings	**661,110**	517,021
	813,526	664,092

11. PROVISIONS

	Property dilapidations £000	Warranties £000	Total £000
At 25 December 2010	93	1,511	1,604
Provision created in the period	201	3,266	3,467
Utilised in year	(55)	(2,539)	(2,594)
At 24 December 2011	**239**	**2,238**	**2,477**

Provisions for warranties relate to appliance products sold and cover a period of two years

12. DEFERRED TAXATION

	£000
At 25 December 2010	4,214
Charged during the period	(335)
Change of rate*	222
Adjustments in respect of prior periods	93
At 24 December 2011	**4,194**

The deferred taxation asset included in debtors is analysed as follows

	24 Dec 2011 £000	25 Dec 2010 £000
Accelerated capital allowances	**2,421**	1,659
Other timing differences	**1,773**	2,555
	4,194	4,214

*On the 19 July 2011 the House of Commons approved the Finance Bill which reduces the UK Standard rate of Corporation tax from 28 % to 26% with effect from 1 April 2011 and 25% from 1 April 2012 All deferred assets and liabilities have been recognised at 25%

13. SHARE CAPITAL

	24 Dec 2011 £000	25 Dec 2010 £000
100,000,000 authorised ordinary shares of £1.00 each	**100,000**	100,000
100,000,000 allotted, called up, issued fully paid ordinary shares of £1 00 each	**100,000**	100,000

14. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	Share Capital	Profit and Loss Reserve	Share-based payments reserve	Shareholders' Funds
	£'000	£'000	£'000	£'000
At 25 December 2010	100,000	124,709	4,328	229,037
Profit for the period	-	73,740	-	73,740
Net movement in ESOP	-	-	1,349	1,349
At 24 December 2011	**100,000**	**198,449**	**5,677**	**304,126**

15. PENSIONS

i) Defined contribution pensions

The Howden Joinery Plc Group group operates a defined contribution scheme for its employees The Company's pension charge for the current year for defined contribution pension schemes was £832,000 *(2010 £809,000)* There were no outstanding contributions at the period end

ii) Defined benefit pensions

The Company participates in the Group retirement benefit plan This is a defined benefit multi-employer arrangement, which operates through a funded pension scheme which provides benefits based on the final pensionable pay of participating employees The assets of the scheme are held separately from those of the Group, being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme This is the prescribed treatment in FRS 17 "Retirement Benefits"

Further information about the Howden Joinery Group Plc defined contribution retirement benefit schemes is available in the Howden Joinery Group Plc statutory accounts The most recent actuarial valuation was carried out at 5 April 2008 by the scheme actuary At the current period end, the triennial actuarial valuation as at 5 April 2011 was in progress, but not completed The actuary advising the Group has subsequently rolled forward the preliminary results of the 5 April 2011 valuation to 24 December 2011, and has restated the results onto a basis consistent with market conditions at that date This exercise showed a scheme deficit at 24 December 2011 of £136 9m (2010 £135 7m), before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ("IAS 19", under which the Howden Joinery Group reports its results), rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19 Further details are given in the consolidated financial statements of Howden Joinery Group Plc

The Company's defined benefit pension charge for the year was £11,924,000 *(2010 £9,642,000)* There were pension costs of £747,000 unpaid but provided for at 24 December 2011 *(2010 £725,000)*

15. PENSIONS (continued)

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 "Employee Benefits" The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Howden Joinery Group Plc

16. FINANCIAL COMMITMENTS

The annual commitments under non-cancellable operating leases are set out below

Plant and machinery operating leases which expire	24 Dec 2011 £000	25 Dec 2010 £000
Within one year	**419**	912
Between two and five years	**9,789**	6,072
Over five years	**816**	591
	11,024	7,575

17. FINANCE LEASES

The finance lease obligations are repayable as follows	24 Dec 2011 £000	25 Dec 2010 £000
Current liabilities		
Within one year	-	396
Non-current liabilities		
In the second year	-	-
In the third to fifth years inclusive	-	-
Total finance lease obligations	-	396

All finance lease obligations are in sterling Each lease contract is at a fixed rate The weighted average of the fixed rates on the various contracts is nil at the current year end *(2010 5%)* The finance lease obligations are unsecured The average remaining lease term is nil (2010 9m)

Reconciliation of total future minimum lease payments to their present value

	Minimum lease payments		Present value of minimum lease payments	
	24 Dec 2011 £000	25 Dec 2010 £000	24 Dec 2011 £000	25 Dec 2010 £000
Amounts payable under finance leases				
Within one year	-	409	-	396
In the second year	-	-	-	-
In the third to fifth years inclusive	-	-	-	-
	-	409	-	396
Less future finance charges	-	(13)		
Present value of lease obligations	-	396		
Disclosed as				
Current	-	396		
Non-current	-	-		
	-	396		

18. SHARE BASED PAYMENTS

1) Details of each scheme
The Company recognised a charge of £1 4m (2010 charge of £799k) in respect of share-based payments during the period The Company has various share-based payments schemes, which are all equity-settled The main details of all the schemes which existed during the period are given below

2) Performance Share Plan
This is a discretionary free share plan where participants have a contingent right to receive free shares with performance conditions attached

The performance period is measured from the start of the financial period in which the awards are granted The performance period is three years Vesting occurs at the end of the performance period The different subdivisions and performance conditions are as follows
i) 25% of the award will vest if 2010 PBT of £110 million is achieved 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points

b) Deferred Bonus Plan - 2010 restricted share award
The shares are held in trust and participants are entitled to dividends during the deferral period A participant can remove the shares from the Trust at any time but as they would no longer be pledged as Invested Shares under the Co-Investment Plan, then unless replaced, the participant would forego the resulting match

c) Co-Investment Plan
This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan

(i) (A) 2007 award PBT targets At the end of a three year performance period, each invested share will be matched by an award of up to three matching shares if 2010 PBT of £135m is achieved, 25 percent of the maximum match (i e 0 75 1) will be earned for achieving 2010 PBT of £110 million and the awards will vest on a sliding scale between these two points

(ii) (A) 2007 award TSR target A further match of up to two shares will be made for achieving upper quartile Total Shareholder Return (TSR), measured against the FTSE 250 Index (excluding investment trusts)

(iii) 2011 award 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p a , based on the December 2010 accounts 100% of the award will vest if PBT growth on the same basis is 12% p a or above

***d)* Executive Share Options**
This is a discretionary share option plan These options are granted with an exercise price equal to market value

The vesting period is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information The different subdivisions and performance conditions are as follows

i) 40% vesting if EPS growth equals RPI+40%, rising to 100% vesting for EPS growth of RPI+100%

ii) 50% vesting if there is EPS growth of 60% over the performance period, and 100% vesting if there is EPS growth of 120% over the performance period

iii) EPS growth must equal RPI + 9% If this is achieved there will be full vesting If this is not achieved there will be no vesting

18. SHARE BASED PAYMENTS (continued)

iv) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p Underpinning this is a requirement to achieve 20% annual compound growth over the performance period

v) Full vesting will occur if the Group's cumulative profit before tax is at least £90m over the three financial years ending December 2009, 2010, and 2011 If this is not achieved there will be no vesting

***e)* LongTerm Incentive Plan - Options**
This is a discretionary plan under which the Company may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture) Unless otherwise specified all awards have substantially the same terms

(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011

(ii) Market value which vest after a three year period from the date of grant 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period, 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved

(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment

(iv) 2011 Grant - 25% of the award will vest if PBT growth at the end of the 2013 financial year is at a rate of 6% p a , based on the December 2010 accounts 100% of the award will vest if PBT growth on the same basis is 12% p a or above

***f)* Share Incentive Scheme (Freeshares)**
This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares in the Company If the employees are still employed by the Group three years after the grant, then the shares vest Dividends are paid out on the shares between award date and vesting date There are no other performance conditions attached to these awards

18. SHARE BASED PAYMENTS (continued)

2) Movements in the period

The following tables show the number and weighted average exercise prices ("WAEP") of each category of share options during the period, and the movements in each category The significance of options granted before 7 November 2002 is that they have been excluded from the IFRS2 share-based payment charge on the basis of their date of grant, as allowed on adoption of IFRS 2

a) Performance Share Plan

i) 25% of the award will vest if 2010 PBT of £110 million is achieved 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at beginning of period	656,322	0	785,368	0
Granted in period	-	N/A	-	N/A
Lapsed in period	(656,322)	0	(66,003)	0
Exercised in period	-	N/A	(63,043)	0
In issue at end of period	-	N/A	656,322	0
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	N/A		0	
Weighted average share price for options exercised during the period		N/A		0 63
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		0	
- to	N/A		0	

18. SHARE-BASED PAYMENTS (continued)

b) Deferred Bonus Plan - Restricted Share Award	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
i) 2010 grant	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	250,269	0 00	0	N/A
Granted in period	-	N/A	424,779	0 00
Lapsed in period	-	N/A	0	N/A
Exercised in period	(250,269)	0 00	(174,510)	0 00
In issue at end of period	-	N/A	250,269	0 00
Exercisable at end of period	-	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	N/A		0	
Weighted average share price for options exercised during the period		1 12		0 80
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0	
Weighted average fair value of options granted during the period (£)	N/A		0 79	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		0 00	
- to	N/A		0 00	

c) (i) (a) Executive Co-investment Plan 2007 award, PBT target	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	1,860,000	0 00	1,860,000	0
Granted in period	-	N/A	0	N/A
Lapsed in period	(1,860,000)	0 00	0	N/A
Exercised in period	-	N/A	0	N/A
In issue at end of period	-	N/A	1,860,000	0 00
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	N/A		-	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		0	
- to	N/A		0	

18. SHARE-BASED PAYMENTS (continued)

c) (ii) (A) Executive Co-investment Plan 2007 award, TSR target	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at start of period	1,240,000	0 00	1,240,000	0 00
Granted in period	-	N/A	0	N/A
Lapsed in period	(1,240,000)	N/A	0	N/A
Exercised in period	-	N/A	0	N/A
In issue at end of period	-	0	1,240,000	0
Exercisable at end of period	-	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	-		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	-		0	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		0	
- to	N/A		0	

c) (iii) Co-investment Plan 2011 award 25% of the award will vest if 6% growth in PBT is achieved, 100% will vest if 12% PBT growth is achieved	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)
In issue at start of period	0	0 00
Granted in period	1,302,494	N/A
Lapsed in period	-	N/A
Exercised in period	-	N/A
In issue at end of period	1,302,494	0 00
Exercisable at end of period	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average share price for options exercised during the period		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2 25	
Weighted average fair value of options granted during the period (£)	1 05	
Range of exercise prices for options outstanding at the period end (£)		
- from	0 00	
- to	0 00	

18. SHARE-BASED PAYMENTS (continued)

d) Executive Share Options

i) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at beginning of period	217,081	1 07	217,081	1 07
Granted in period	-	N/A	0	N/A
Lapsed in period	-	N/A	0	N/A
Exercised in period	-	N/A	0	N/A
In issue at end of period	217,081	1 07	217,081	1 07
Exercisable at end of period	67,943	1 07	67,943	1 07
Number of options in the closing balance that were granted before 7 November 2002	-		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0		0	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1 07		1 07	
- to	1 07		1 07	

d) Executive Share Options

ii) 50% vesting if EPS growth is 60% and 100% vesting if EPS is 120%	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at beginning of period	262,358	1.32	262,358	1.32
Granted in period	-	N/A	0	N/A
Lapsed in period	(262,358)	1.32	0	N/A
Exercised in period	-	N/A	0	N/A
In issue at end of period	-		262,358	1.32
Exercisable at end of period	-	0 00	262,358	1.32
Number of options in the closing balance that were granted before 7 November 2002	N/A	0 00	262,358	1.32
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		1 32	
- to	N/A		1.32	

18. SHARE-BASED PAYMENTS (continued)

d) Executive Share Options

iii) Full vesting if EPS increases by RPI + 9%	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at beginning of period	1,598,734	1 03	1,646,128	1 00
Granted in period	-	N/A	(4,641)	1 00
Lapsed in period	(729,065)	1 07	(42,753)	1 00
Exercised in period	(310,092)	1 02	0	N/A
In issue at end of period	559,577	1 00	1,598,734	1 03
Exercisable at end of period	407,137		1,261,193	1 03
Number of options in the closing balance that were granted before 7 November 2002	407,137		773,604	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1 00		1 00	
- to	1 06		1.39	

d) Executive Share Options

iv) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p Underpinning this is a requirement to achieve 20% annual compound growth over the performance period

	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at beginning of period	12,740	1 59	1,973,502	1 59
Granted in period	-	N/A	0	N/A
Lapsed in period	(12,740)		(1,960,762)	1 59
Exercised in period	-	N/A	0	N/A
In issue at end of period	-		12,740	1 59
Exercisable at end of period	-	N/A	0 00	N/A
Number of options in the closing balance that were granted before 7 November 2002	-		0 00	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		1 59	
- to	N/A		1 59	

18. SHARE-BASED PAYMENTS (continued)

e) Long Term Incentive Plan - Options

i) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	8,550,382	0.37	8,595,382	0 37
Granted in period	-	N/A	50,000	0.37
Lapsed in period	(220,000)	0.37	(71,528)	0.37
Exercised in period	-	N/A	(23,472)	0 37
In issue at end of period	8,330,382		8,550,382	0 37
Exercisable at end of period	-	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0.00		0.87
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 33		1.33	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 25		0 25	
- to	0 50		0 50	

ii) 2012 PBT increase by between RPI and RPI + 8%	52 weeks to 24 December 2011	52 weeks to 24 December 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	2,608,421	0 81	0	N/A
Granted in period	-	0	2,608,421	0 81
Lapsed in period	(129,368)	N/A	0	N/A
Exercised in period	-	N/A	0	N/A
In issue at end of period	2,479,053	0 81	2,608,421	0 81
Exercisable at end of period	-	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.33		2.33	
Weighted average fair value of options granted during the period (£)	N/A		0 44	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 81		0 81	
- to	0 81		0 81	

18. SHARE-BASED PAYMENTS (continued)

iii) Conditional Share Award - subject to continuing employment	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at beginning of period	512,400	0 00	0	N/A
Granted in period	584,900	0 00	542,400	0 00
Lapsed in period	(75,400)	0 00	(27,500)	0 00
Exercised in period	(7,700)	0 00	(2,500)	0 00
In issue at end of period	1,014,200	0 00	512,400	0 00
Exercisable at end of period	-	N/A	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		109 17		0 79
Weighted average contractual life remaining for share options outstanding at the period end (years)	1 75		2 33	
Weighted average fair value of options granted during the period (£)	1 05		0 81	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

(iv) 2013 LTIP - PBT to increase by between 6% - 12%	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)
In issue at beginning of period	-	N/A
Granted in period	748,162	1 09
Lapsed in period	-	N/A
Exercised in period	-	N/A
In issue at end of period	748,162	1 09
Exercisable at end of period	-	N/A
Number of options in the closing balance that were granted before 7 November 2002	-	
Weighted average share price for options exercised during the period		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2 25	
Weighted average fair value of options granted during the period (£)	0 53	
Range of exercise prices for options outstanding at the period end (£)		
- from	1 09	
- to	1 09	

18. SHARE-BASED PAYMENTS (continued)

f) Share incentive scheme (Freeshares)	52 weeks to 24 December 2011 Number	52 weeks to 24 December 2011 WAEP (£)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)
In issue at beginning of period	233,614	0	379,076	0 00
Granted in period	-	N/A	-	N/A
Lapsed in period	-	N/A	-	N/A
Exercised in period	(25,775)	0 00	(145,462)	
In issue at end of period	207,839	0 00	233,614	0 00
Exercisable at end of period	207,839	0 00	233,614	0 00
Number of options in the closing balance that were granted before 7 November 2002	141,538		158,517	
Weighted average share price for options exercised during the period		0 00		0 78
Weighted average contractual life remaining for share options outstanding at the period end (years)	0		0	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model

The key assumptions used in the models were

	52 weeks to 24 December 2011	52 weeks to 25 December 2010
Dividend yield (%)	1 5	0
Expected share price volatility (%)	54	53
Historical volatility (%)	54	53
Risk-free interest rate (%)	3 0	3 4
Expected life of options (years)	4 8	6 5

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme The figure arrived at is then used as the best estimate of expected future volatility

19. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company is Howden Joinery Holdings Ltd and the ultimate parent company and controlling entity is Howden Joinery Group Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Howden Joinery Group Plc on the grounds that it is a wholly owned subsidiary